MY DIGITAL ACADEMY

Livin' Merchant: Integrating the Digital Ecosystem for MSMEs in Bandung City

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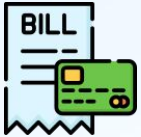
Chapter 1: Introduction - The Problem & Opportunity

Problem Statement

The problem faced by MSMEs in Bandung CIty is the fragmentation of the digital payment ecosystem, where various platforms operate independently without integration, leading many MSMEs to still heavily rely on cash or many different payment methods.



In 2023, only about 21.39% of MSMEs in West Java (including Bandung) had utilized QRIS as a digital payment method.

MSME owners face many choices of payment platforms (e-wallets, QRIS, bank transfers, debit/credit cards, VA), but not all platforms are interconnected.

Chapter 2: The Solution - A Scalable Digital Platform for Bank Mandiri

Solution Overview

Innovation in Livin' Merchant will focus on creating an integrated digital payment ecosystem by facilitating transactions between MSMEs and distributors/suppliers, and by integrating business bill payments into one comprehensive platform.

Key Benefits:

Increased Transactional and Operational Efficiency for MSMEs

Strengthening Local Business Ecosystems and Economic Growth

Enhanced Digital Financial Literacy

Chapter 3: Go-To-Market Strategy - Launch & Growth

Go-To-Market Strategy

Launch Strategy

Pilot Program in Bandung City

- Target 10.000 MSMEs in 3-4 months.
- Track key metrics: usage data, merchant feedback, and transaction performance.

Early Adopters Strategy

- Waived supplier and billers transaction commissions for the first 3 months.
- Suppliers discount coupons and billers cashback coupons for the first transaction.
- Feature the stories of select early adopters on Bank Mandiri's official social media channels

Marketing and Onboarding

- Host education workshops or online sessions for MSMEs in Bandung City.
- Participate in community events or MSME bazaars.
- Social media marketing.

Go-To-Market Strategy

Distribution Channels

Mobile Application Ecosystem

- Publish on App Store & Google Play.
- Integration within the Livin' ecosystem

Physical Branches and ATMs

- 70 physical branches and 280+ ATMs for physical supports.

Partnership Distributions

- Collaborate with local suppliers and distributors.
- Partnership with billers (PLN, PDAM, BPJS, Taxes, etc.)
- Open banking API and fintech integration

Go-To-Market Strategy

Adoption Strategy

Financial Intensive

- Waived supplier and billers transaction commissions for the first 3 months.
- Suppliers discount coupons and billers cashback coupons for the first transaction.

Ease of Operations

- Business bill payments (PLN, PDAM, BPJS, PPh) and transactions with suppliers and distributors in 1 app with a user-friendly interface.

Education and Support Programs

- Bank Mandiri regularly holds workshops and training to boost MSME digital literacy and app usage.
- Customer support via a 24/7 AI chatbot for quick problem-solving.
- Merchants get personalized assistance from dedicated customer success managers.

Go-To-Market Strategy

Scalability and Expansion

Technology Infrastructure Scalability

- The cloud-based infrastructure is designed to dynamically handle increases in transaction volume.
- Implement open banking APIs to enable integrations and ecosystem expansion.
- Integrate chatbot using AI powered automation.

Geographic Expansion Strategy

- Phase 1 (6-12 months): focus on achieving 50.000 new MSME users in Bandung City..
- Phase 2 (12-24 months): expansion to Greater Bandung (Bandung City, Bandung Regency, West Bandung Regency, Sumedang Regency, Cimahi City) with target around 50.000 new MSME users. Phase 3 (24-48 months): expansion to West Java areas.
- Phase 4 (48-72 months): extend services to other provinces across Indonesia, especially region with many MSMEs population.

Chapter 4: Business Model & Revenue Streams

Business Model Canvas

MY DIGITAL ACADEMY

Key Partners

- IT Team
- Marketing Team
- Supplier and distributors
- Government and Public Utilities (PLN, PDAM)
- Involved MSMEs

Key Activities

- Pembayaran tagihan usaha:
- Transactions with local suppliers and distributors
- Integrated digital transactions via QRIS

Key Resources

- Livin' Merchant
- Branch offices capabilities

Value Propositions

- An integrated and comprehensive digital payment platform.
- Direct transactions with local suppliers and distributors
- Comprehensive business and bill payment features

Customer Relationships

- Data transparency
- Easy service access via mobile application
- 24/7 AI chatbot available

Channels

Livin' Merchant

Customer Segments

Retail:

- Micro
- Small Medium Enterprises (SME)

Cost Structure

- Application development
- Operational costs (chatbot, application maintenance, cloud fees)
- Partnership costs
- Marketing costs

Revenue Streams

- Merchant Discount Rate
- Commission from Each MSME Purchase Transaction to Suppliers and Distributors
- Bill Payment Commission

Chapter 5: Risk Assessment & Mitigation

Risk Assessment & Mitigation

No.	Risk Assessment	Mitigation Plan
1	Competitors offer similar services	Differentiation through features like supplier integration and bill payments, alongside collaborations with local MSME associations.
2	Low adoption of digital payments and cash preference.	Intensive digital education through workshops and onsite training, combined with a user-friendly interface and fast digital onboarding.
3	Complexity of integration with various local suppliers, distributors, and billers.	A dedicated IT team specifically tasked with managing all integration processes and providing comprehensive technical support.
4	Application maintenance and data security.	Investing in robust cloud infrastructure and advanced cybersecurity measures is crucial to ensure scalability, data integrity, and protection against evolving threats.
5	Revenue reliance on transaction fees.	An integrated and massive marketing campaign will be essential to reach a wide audience and drive significant user adoption.
6	Development, marketing, and partnership costs could exceed projections.	Implement tight budget controls and routine cost-effectiveness evaluations, with partnership renegotiations if needed.

Risk Assessment & Mitigation

No.	Risk Assessment	Mitigation Plan
7	Delayed settlements from third parties can disrupt merchant cash flow.	Negotiating and enforcing Service Level Agreements (SLAs) for settlement with third parties (suppliers, distributors, and billers).
8	Intense transaction traffic during peak periods could cause application crashes.	Ensuring a scalable cloud infrastructures and conducting regular load testing are crucial to guarantee the application can handle high transaction volumes seamlessly.
9	Merchants struggle to use the application.	Routine UX research and developing the UI based on merchant feedback, combined with interactive tutorial features.

Chapter 6: Financial Feasibility & Pricing Strategy

Financial Feasibility & Pricing Strategy

Cost Structure Breakdown

Type	Component	Cost	Detail
One Time Fixed Cost	Application Development	Rp1.500.000.000,00	Analysis and planning, UI/UX design, development, testing & QA, deployment & launch, project management
Annual Fixed Cost	Digital Marketing	Rp1.500.000.000,00	Social media marketing, content marketing, paid ads
	On-site Marketing (Bandung City)	Rp1.000.000.000,00	Events, workshop and educational promotions, banner, ad
	Partnership Cost	Rp500.000.000,00	Suppliers, distributors, and billers across Bandung City
	Customer Success	Rp500.000.000,00	Customer success manager team, loyalty rewards
	Operational Cost	Rp1.500.000.000,00	IT team, cloud fees, chatbot AI, security maintenance
Total		**Rp6.500.000.000,00**	

Financial Feasibility & Pricing Strategy

Revenue Model

Transaction fee revenue model: MDR, commission for transactions with suppliers and distributors, bill payment commission.

Pricing Strategy

- Number of All MSMEs in Bandung City:**around 460k MSMEs.**
- Number of MSMEs with NIB: around **90k MSMEs**
- Number of formally registered MSMEs: **10.244 MSMEs**
- Potential MSMEs users in Bandung CIty (of all MSMEs): **50k MSMEs** (75% micro, 25% small-medium).

Financial Feasibility & Pricing Strategy

Revenue Breakdown

Component	Revenue/year	Detail
MDR	Rp10.437.500.000,00	0,3% for micro, 0,7% for small-medium. 50% transact via cash and 50% transact via qris
Bill Payment Fees	Rp600.000.000,00	Rp1.000 for every transactions
Transaction with suppliers and distributors fee	Rp1.200.000.000,00	Rp1.000 for every transactions
Total	**Rp12.237.500.000,00**	

Financial Feasibility & Pricing Strategy

Break-Even Analysis

Component	Detail
Revenue	Rp12.237.500.000,00
Cost	Rp6.500.000.000,00
Margin	46,88%
Profit	Rp5.737.500.000,00
Break-Even Time	6.4 months

This result shows strong financial performance with total revenue of **Rp12.237 Billion** generating a profit of **Rp5.737 Billion**. The achieved margin of **46.88%** and a break-even point within 6.4 months highlights high effectiveness and profitability

Market Viability Analysis

Desirability Analysis Aspect

PROBLEM

1

MSMEs in Bandung CIty is facing the fragmentation of the digital payment ecosystem.

SOLUTION

2

- Creating an integrated digital payment ecosystem by facilitating transactions between MSMEs and their suppliers, and distributors
- Integrating business bill payments.

TARGET CLIENTS

3

Around 50.000 MSMEs in Bandung City (from all of 460k MSMEs)

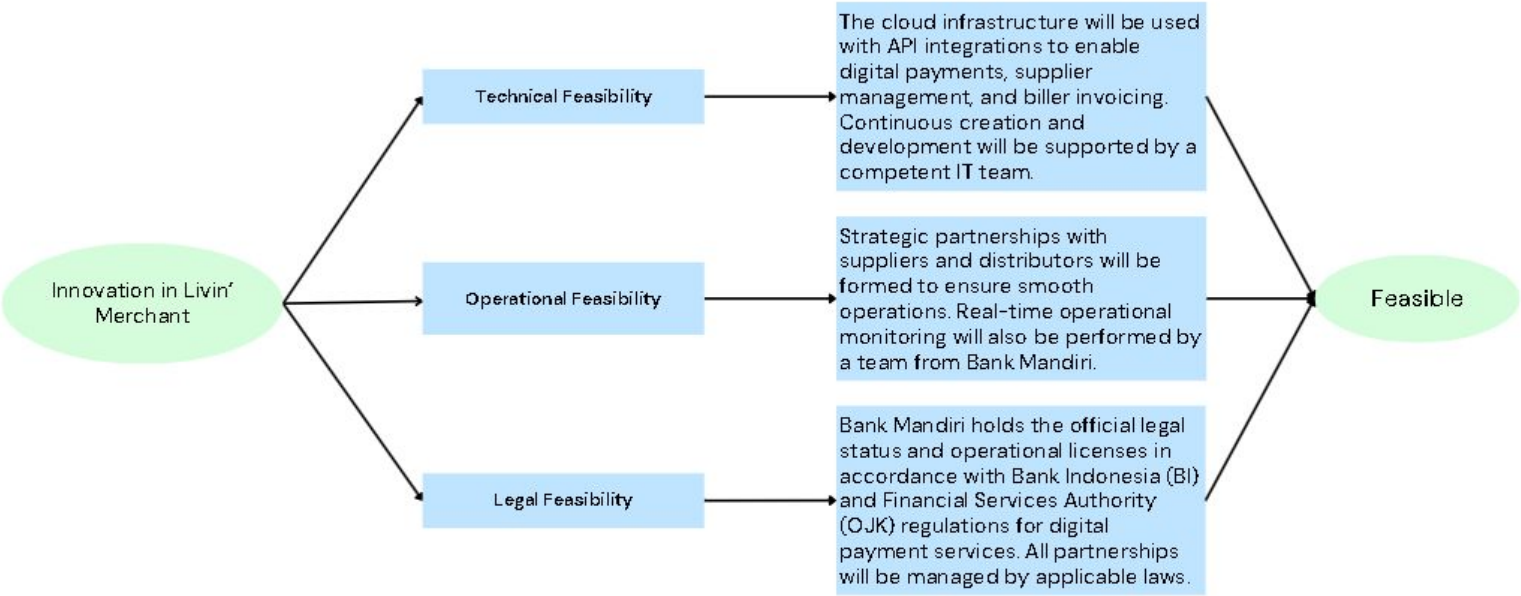
VALUE PROPOSITIONS

4

An integrated transactions and payment method with one comprehensive digital payment platform.

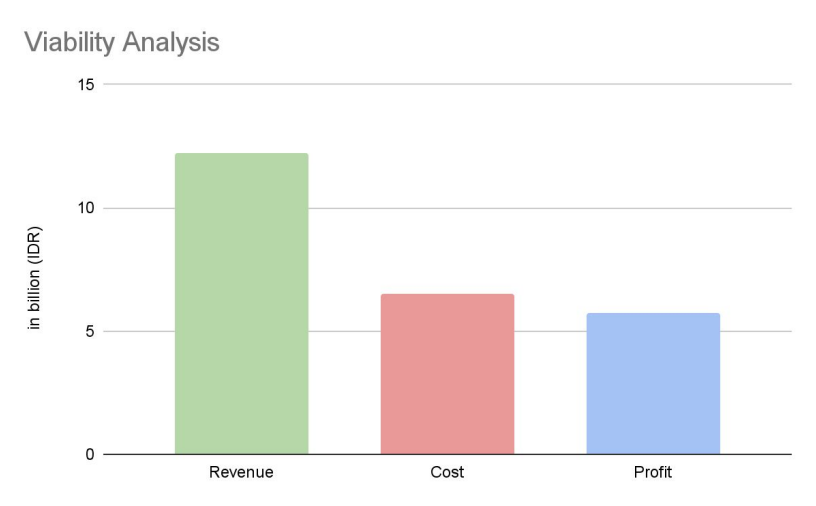
Market Viability Analysis

Feasibility Analysis Aspect



Market Viability Analysis

Viability Analysis Aspect



This diagram shows strong financial performance with profitable result. This highlights effectiveness and profitability for this innovation in Livin' Merchant.

Market Viability Analysis

Conclusion

Innovation in Livin' Merchant for MSMEs, especially in Bandung City, is highly feasible because it's desirable given the needs of Bandung's MSMEs for an integrated and comprehensive digital payment system. It's also feasible from technological, operational, and legal standpoints, and viable due to the profits it's expected to generate

Next Step

- Focusing on technology development, with a strong emphasis on system integration and data security.
- Strengthen partnerships with government institutions, suppliers, and distributors for seamless operations and services.
- Prepare a massive integrated marketing campaign (digital and onsite) to boost brand awareness and expand MSME market reach.

Chapter 7: Prototype - Demonstrating the Solution

Prototype Section

Prototype Link: [Task 3 - Individual Prototype]

Innovating on Livin' Merchant,

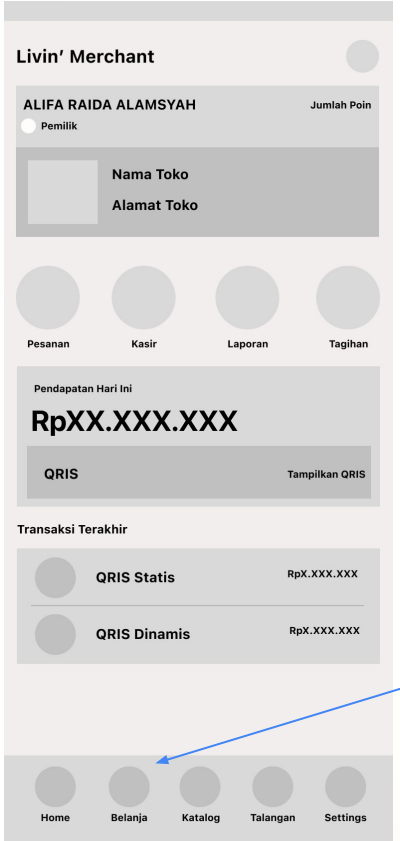
Livin' Merchant is a cashier application (Point of Sales) from Bank Mandiri designed to help sellers provide services to buyers. It is equipped with attractive features such as online merchant account registration, product catalog, acceptance of payments with various methods, and an online store that makes it easy for sellers to serve buyers.

Prototype Section (Transactions)

PIN entry screen

A security screen for entering a PIN to access the Livin' Merchant dashboard.

Click on “1”

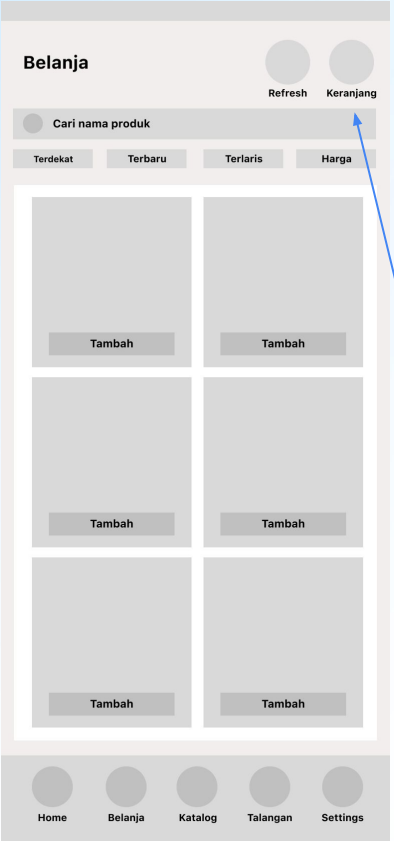


Main Dashboard

Displays owner and store information, today’s revenue, latest transaction, and buttons to access the next features

Click on “Belanja”

Prototype Section (Transactions)



Product Listing Page

Interface for browse and adding products to the shopping cart.

Innovation:

Sorts product by “Terdekat”, “Terbaru”, “Terlaris”, and lowest/highest price.

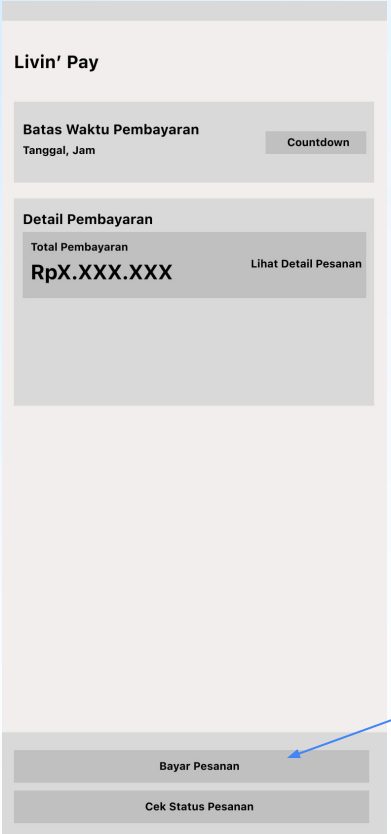
Click on “Keranjang”

Shopping Cart Page

Interface where users can select address, choose items, manage quantities, and prepare to proceed with payment.

Click on “Pilih Pembayaran”

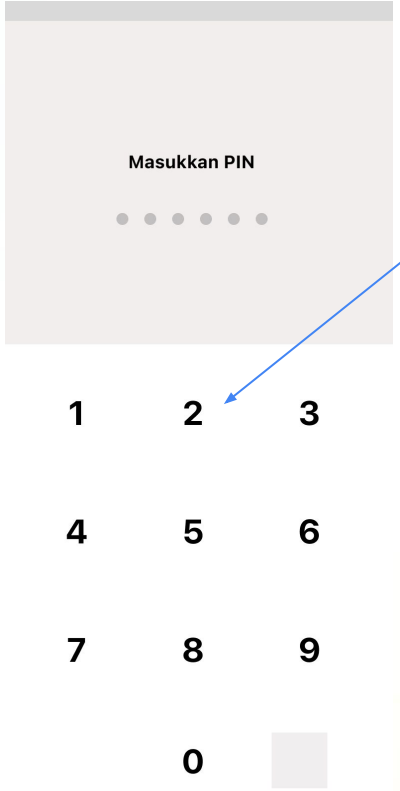
Prototype Section (Transactions)



Payment Details Page (Livin' Pay)

Interface for reviewing payment information before proceeding and checking the status of an order.

Click on "Bayar Pesanan"

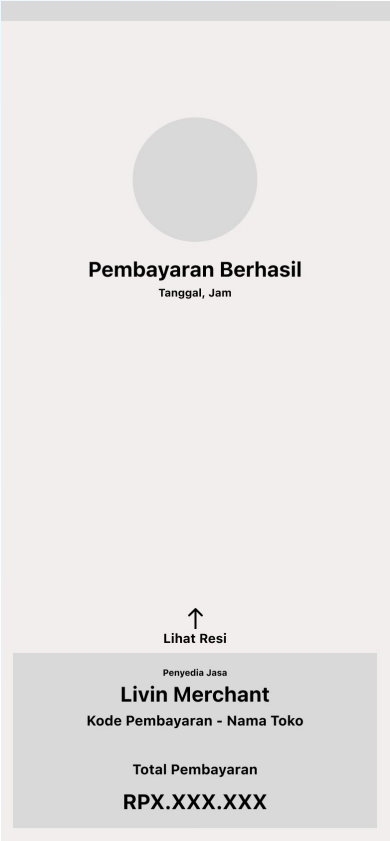


PIN Entry Screen

The PIN entry screen is displayed to ensure security before processing order payment

Click on "2"

Prototype Section (Transactions)



Payment Success Confirmation Page

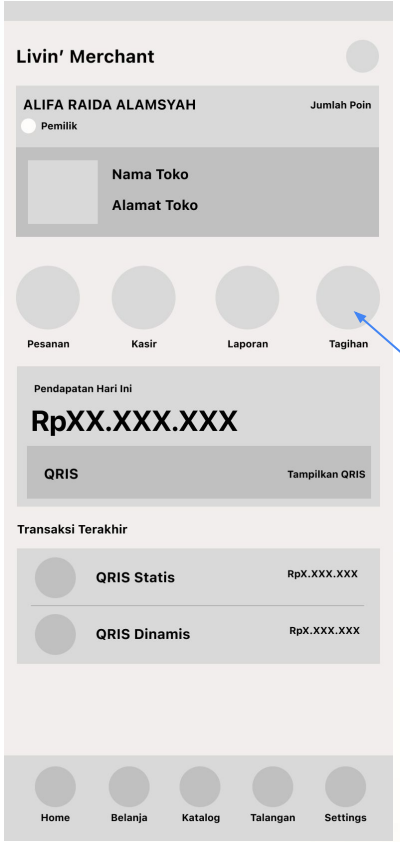
Interface that informs the user that the transaction was successful and provides an option to view the payment receipt.

Prototype Section (Bill Payment)

PIN entry screen

A security screen for entering a PIN to access the Livin' Merchant dashboard.

Click on “1”



Main Dashboard

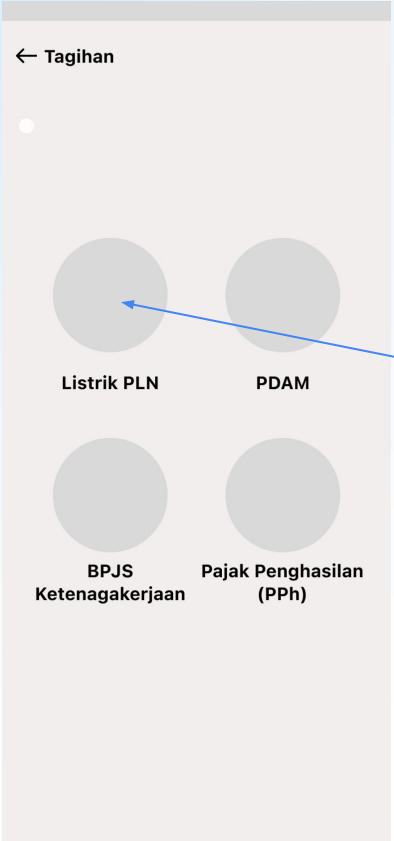
Displays owner and store information, today’s revenue, latest transaction, and buttons to access the next features

Innovation: “Tagihan” button.

Click on “Tagihan”

Prototype Section (Bill Payment)

PLN Payment



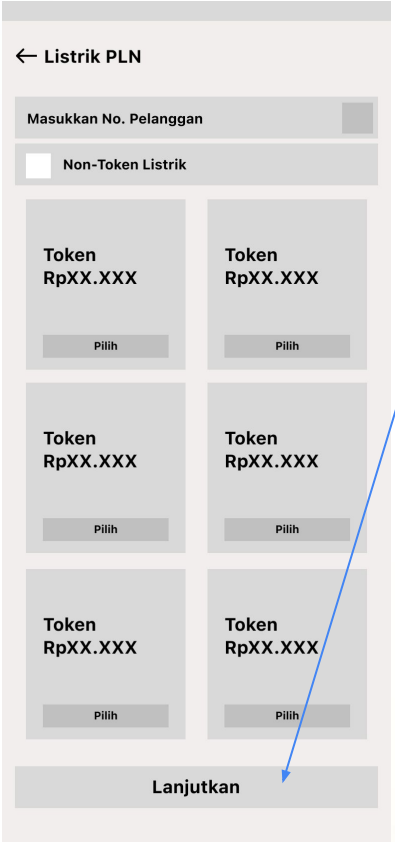
Innovation:

Bill Selection Page

Interface to choose bills to pay:

- PLN
- PDAM
- BPJS
- PPh

Click on “Listrik PLN”



PLN Electricity Bill Payment Page

nterface for managing electricity bill payments or purchasing PLN tokens

Click on “Lanjutkan”

Prototype Section (Bill Payment)

PDAM Payment

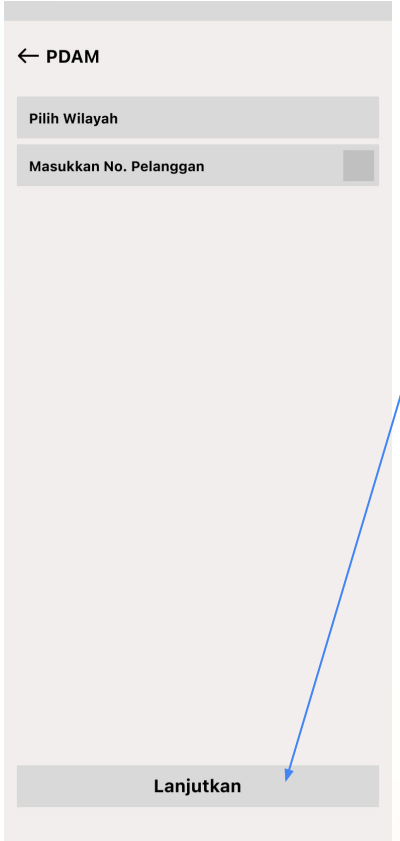
Innovation:

Bill Selection Page

Interface to choose bills to pay:

- PLN
- PDAM
- BPJS
- PPh

Click on "PDAM"



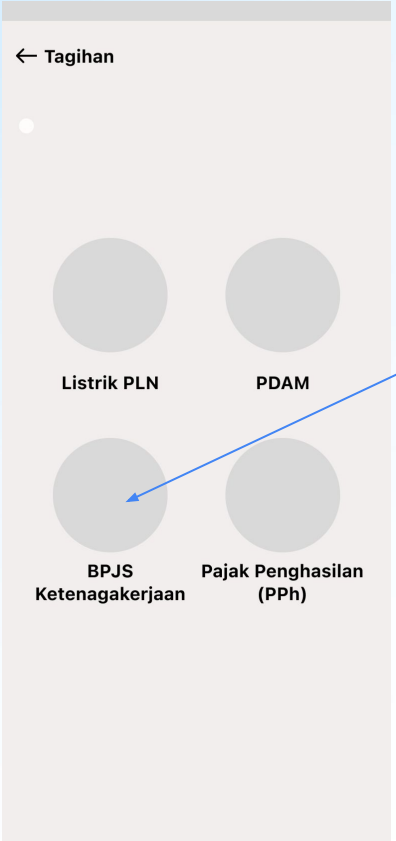
PDAM Water Utility Bill Payment Page

interface for entering the necessary information to pay a PDAM water bill.

Click on "Lanjutkan"

Prototype Section (Bill Payment)

BPJS Ketenagakerjaan Payment



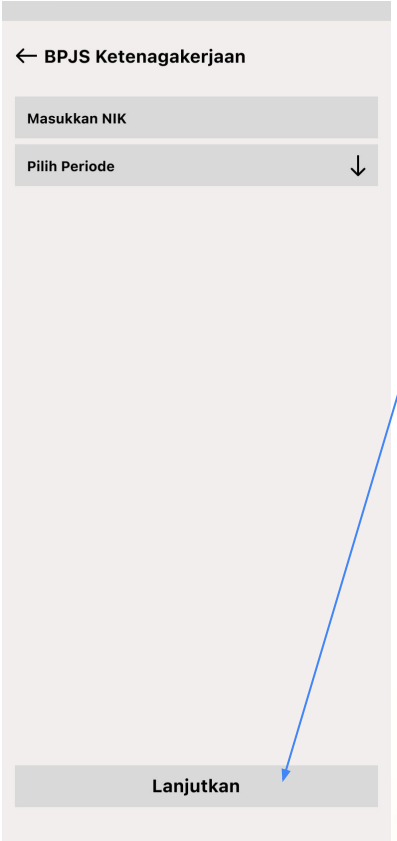
Innovation:

Bill Selection Page

Interface to choose bills to pay:

- PLN
- PDAM
- BPJS
- PPh

Click on "BPJS Ketenagakerjaan"



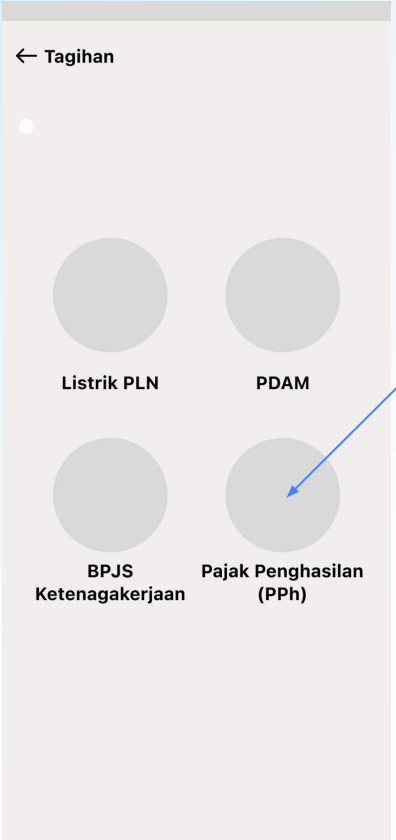
BPJS Ketenagakerjaan Payment Page

Interface for entering the information to pay BPJS Ketenagakerjaan.

Click on "Lanjutkan"

Prototype Section (Bill Payment)

Pajak Penghasilan (PPh) Payment



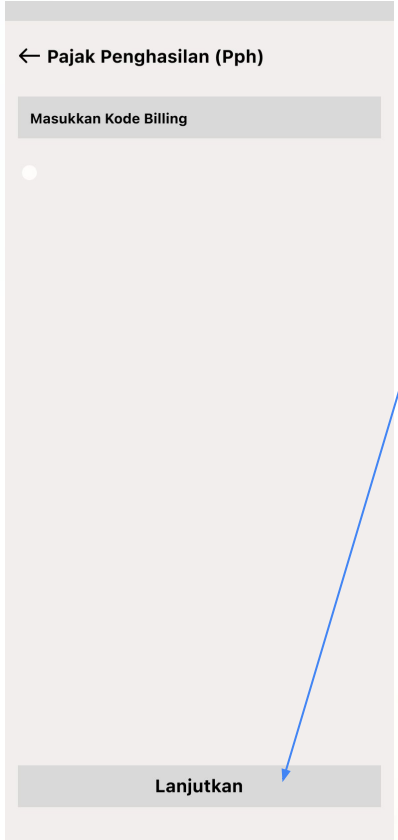
Innovation:

Bill Selection Page

Interface to choose bills to pay:

- PLN
- PDAM
- BPJS
- PPh

Click on "Pajak Penghasilan (PPh)"

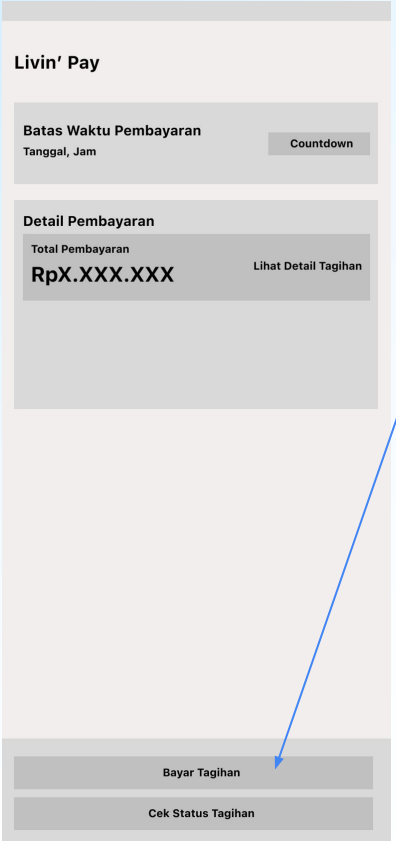


Income Tax (PPh) Payment Page

interface for entering the billing code to pay Income Tax.

Click on "Lanjutkan"

Prototype Section (Bill Payment)

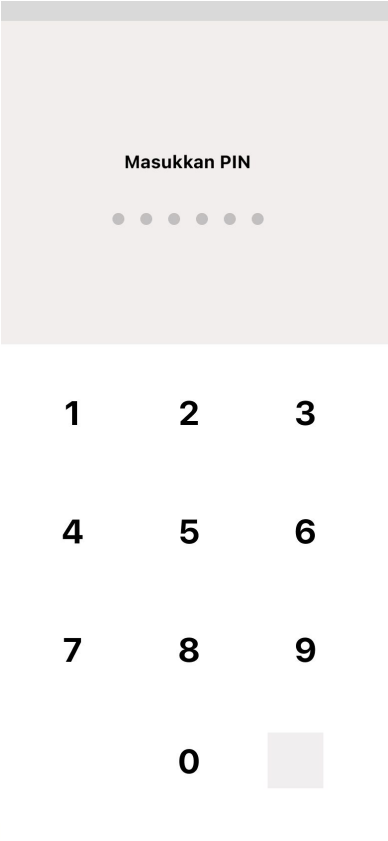


Payment Details Page (Livin' Pay)

After clicking "Lanjutkan" on any payment page, kerjaan, Livin' Merchant will display the Payment Confirmation / Bill Details Page (Livin' Pay).

Interface for reviewing payment information before proceeding and checking the status of a bill.

Click on "Bayar Tagihan"

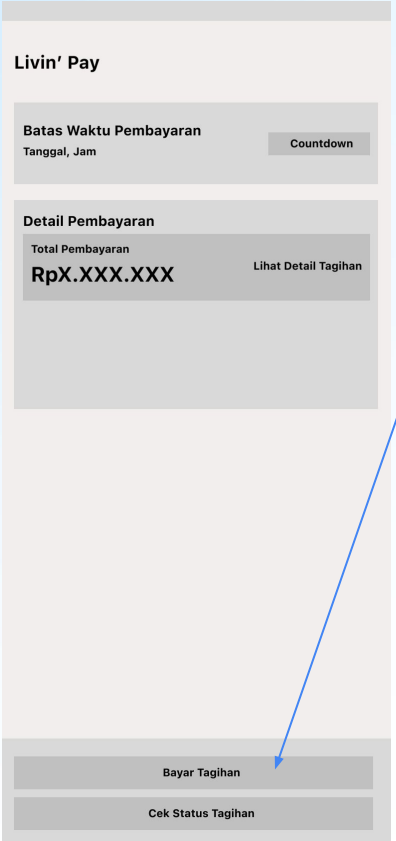


PIN Entry Screen

The PIN entry screen is displayed to ensure security before processing bill payment

Click on "2"

Prototype Section (Bill Payment)



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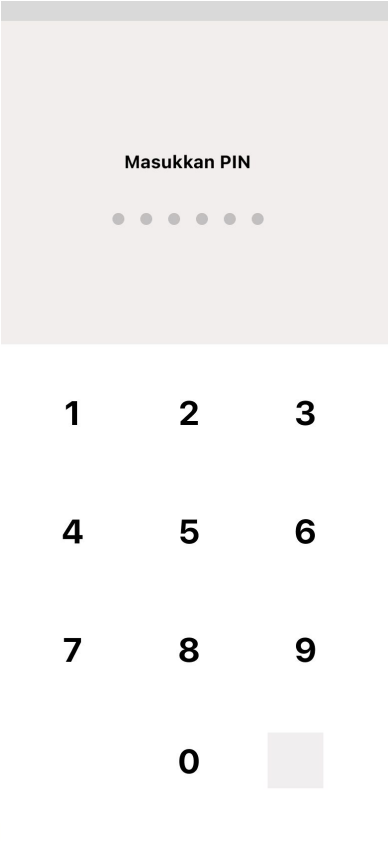

PIN Entry Screen

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Click on "2"

Prototype Section (Bill Payment)

Payment Success Confirmation Page

Interface that informs the user that the bill payment was successful and provides an option to view the payment receipt.

Alignment with Business Model:

- Integration payment via QRIS
- Comprehensive business services in one application
- Encouraging digital payment adoption

Final Recommendation

Final Recommendations & Next Steps

Further Development Strategy

- In-depth research for potential users.
- Refine product features by deepening system integration and data security
- Pilot testing in target areas to gather user feedback.
- Strengthen partnerships with suppliers, distributors, billers, and government.
- Massive integrated marketing campaign (digital and onsite)

Final Recommendations & Next Steps

Challenges and Risks

Technical integration complexity

Merchant adoption barriers due to digital literacy gaps

Market competition from other digital payment platforms.

Final Recommendations & Next Steps

Short-Term Actions

July - August 2025

Reseach & business analysis, , identify MSMEs needs, plan for the project

Nov - Dec 2025

Pilot testing in target areas (Bandung City), gather feedback, , do marketing and training for merchants.

August - Sept 2025

Design the new features, partnership with suppliers, distributors, and billers.

Sept - Nov 2025

Features development, internal testing

Final Recommendations & Next Steps

Long-Term Actions

Jan - March 2026
Improve and optimize features based on the feedbacks gathered

April - June 2026
Expand partnership with suppliers, distributors, massive marketing

June - Sept 2026
Upgrade server aplication, strenghthen customer support

Sept - Dec 2026
Long-term monitoring of the application and project, market expansion.

Thank you!

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